

Your income may be taxed.

What if your second income wasn't?

What would you do if you had a second income every month? That too, if it were tax free in your hands?

You may want to do things which you may be putting off for a while... may be send your children for music classes, take your family out for dinner more often or have your home painted. If you are retired, the extra money can help you maintain your lifestyle in the face of rising prices.

An extra monthly income can come from conventional options like Fixed Deposits (FDs) and Post Office Monthly Income Schemes (PO MIS), but, the monthly income that you receive may be fully taxable.

On the contrary, Regular income solutions offered by mutual funds have certain benefits like:

- **They aim to preserve your money & provide regular income:** These schemes generally invest in instruments like bonds of reputed Indian companies and securities (bonds) issued by the government of India which are considered relatively safe in order to generate regular income for you.
- **They aim to fight Inflation:** A small part is invested in equity i.e. stocks of Indian companies to help you stay ahead of inflation.
- **Tax-efficient Returns:** You may opt for a monthly dividend option where, in addition to the growth of your invested amount, a portion of the same comes to you as monthly income which is given in the form of dividends. These dividends are completely tax-free in your hands!

A dividend distribution tax of 14.1625% is applicable and is deducted by the fund house.